

dustry, both in two- and four-wheelers, towards premiumisation. Studies indicate a shift in preference towards higher-end models with advanced features, superior technology, and better performance. Goenka, for one, can't wait to cash in on this. "We have to move where the market is moving, and premiumisation is a clear trend... and we need to develop products for that market. It's all about looking at these megatrends and being at the forefront," he says.

Banerjee, too, likes to keep an eye out for such trends. "Premiumisation will obviously lead to higher margins and higher realisations, but it's also a growing customer preference, and we need to be there. SUVs and EVs are expected to lead to significant market share growth for us. Our value proposition is safety, product quality, control, and manageability in four-wheelers," he says.

He says CEAT will have an advantage as non-commute use of bikes is expected to increase in the future. "The customer is going through a lot of lifestyle changes. Travel and cruising use cases for bikes will increase. We have to travel with the consumer."

NEED FOR SPEED

78 | Banerjee likes to describe himself as restless and agile. Now that he's at the helm, he wants the firm to display those traits. "As a company, we're not as agile as a start-up. Traditional companies tend to be slow and bureaucratic. There's a lot we can learn from start-ups; we have to be 10x more agile than we are today... Start-ups can also learn business processes and not burn money they shouldn't have from legacy companies," he says.

Another front in CEAT's quest is exports. "It's a top priority for us to grow globally. We want to [see] about 25 per cent of our revenue coming in from international sales in three years. Over the last five to six years, we've seen a shift in the growth of specialty tyres, like off-highway tyres, of which 80-90 per cent are sold globally. In Europe, CEAT is an erstwhile Italian brand. Therefore, it's well-known there and that legacy is helping us expand in international markets like Europe and the US," Goenka explains.

CEAT, short for Cavi Elettrici e Affini Torino, was established in 1924 in Turin, Italy. It was later sold to tyre manufacturer Pirelli, which also bought the rights to the CEAT brand name. In 1982, it moved to the RPG stable and was renamed CEAT.

CEAT aims to double its international turnover in the next two to three years, increasing the contribution of its international business from the current 19 per cent to 25 per cent by FY27.

A reason for optimism is the still low global share of



"Whether it's looking at AI-based applications or reskilling people, my leadership style is more about giving people a lot of freedom and keeping pace with the values of our organisation"

ANANT GOENKA
VICE CHAIRMAN, RPG GROUP